

Palantir Technologies Inc.

PLTR NYSE

Hold	\$181.71 ▲ 2.29%	12M Price Target \$195.00	52-Week Range \$106.37 – \$207.52	Market Cap \$436.66B
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PLTR: Karp's Nationalization Talk Meets Burry's Short Bet

WHAT HAPPENED

- Stock ripped another 2.3% to \$181.71, extending a 5-day run of roughly +5%. The trigger looks like Wall Street's highest-ever price target hitting the tape alongside a fresh "Sovereign AI" narrative — meaning governments building their own AI systems instead of relying on Big Tech, which is literally PLTR's core business.
- But under the hood there's tension: CEO Alex Karp is out saying AI companies should be "nationalized" (wild statement from a public company CEO), Michael Burry is doubling down on his short, and Director Alexander Moore dumped ~\$2M in stock last week. That's a lot of smart-money caution against a euphoric tape.

WHY IT MATTERS

Karp's "nationalize AI" comment isn't random — he's positioning Palantir as the trusted government partner while regulators are actively drafting AI liability frameworks. Translation: if Washington caps liability for approved AI vendors, PLTR becomes a de facto utility for federal AI, which is a moat competitors can't cross. But here's the tension you need to hold in your head: the stock is up ~70% from its 52-week low, Burry is shorting it, and insiders are selling into strength — that's a classic setup where the story is right but the price has run ahead of it. The options flow is telling: heavy call buying at \$195 (bulls chasing) AND heavy put buying at \$177/\$180 (hedgers protecting), meaning even the fast money isn't sure this holds.

POLICY & POLITICAL WATCH

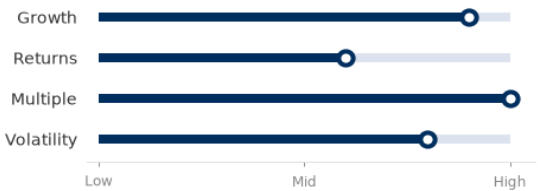
The big one to watch: Congress is debating AI liability caps and federal AI procurement standards — if either passes, PLTR is the biggest winner because they're already FedRAMP High certified (a government security clearance that takes years to earn). The Trump administration's expanded defense budget and the ongoing push for "Sovereign AI" (US government running its own AI stack for national security) is a direct tailwind — PLTR's Gotham platform is essentially the reference implementation. Headwind to monitor: Europe is pushing back on American AI vendors under the EU AI Act, which is why the TIKR headline noted "Europe started saying no" — that caps the international growth story.

IS IT EXPENSIVE?

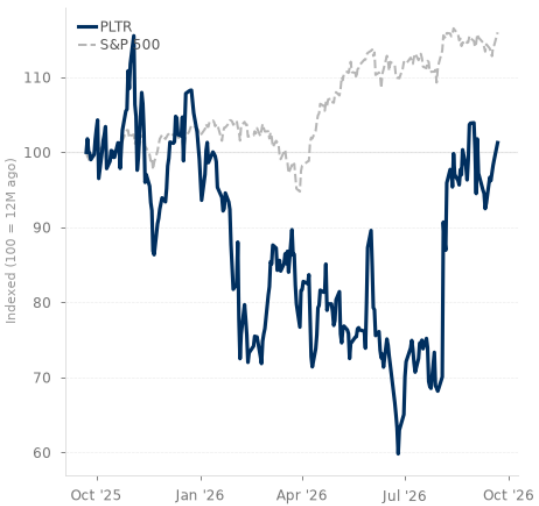
Key Data

Price (USD)	\$181.71
12M Price Target	\$195.00
Upside / (Downside)	+7.3%
Market Cap	\$436.66B
FY2026E Revenue	\$4,520M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$0.72
FY2027E EPS	\$1.05
Fwd P/E	252.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$200.00	\$185.00	\$165.00
6 Months	\$230.00	\$195.00	\$150.00
1 Year	\$260.00	\$195.00	\$130.00
2 Years	\$320.00	\$220.00	\$110.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$450.00	\$70.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+3.8%) and Technology (+2.4%) leading — this is the "Sovereign AI" trade broadening out, with money flowing into anything tied to government AI spending and defense modernization.

COOLING OFF: Real Estate and Industrials flat-lining — rates staying higher for longer is capping the rate-sensitive stuff, and the market is picking winners narrowly (AI/defense) rather than broadly.

ROTATION WATCH: Money is rotating from broad tech into the specific "national security AI" bucket — PLTR, defense primes, and cyber names. That's a direct tailwind but also a crowded trade.

RELATED PLAY: If Sovereign AI is the theme, the picks-and-shovels plays are the hyperscalers doing government cloud (Amazon AWS GovCloud, Microsoft Azure Government) and pure-play defense tech names like AXON or KTOS that ride the same federal budget.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): AI infrastructure buildout winner, less policy risk than PLTR
- KTOS (Kratos Defense): Small-cap defense AI play riding the same budget tailwind

PLTR CONTEXT: PLTR is LEADING its peer group — trading at 74% of its 52-week range while most AI names have cooled from summer highs. That's a double-edged sword: it means the market believes the story, but it also means PLTR is the most crowded long in the sector, which is exactly why Burry is targeting it.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Great business, unmatched government moat, but the valuation is stretched and the smart-money signals (insiders selling, Burry shorting) are flashing yellow.

POSITION SIZE: Keep it small — 1-2% of portfolio. The upside case is real but the drawdown risk at this multiple is severe.

ENTRY POINTS: I'd wait for a pullback to \$150-160, which would be roughly a 15% drawdown and align with prior support. Chasing here into a Burry short and insider selling is asking for pain.

TIME HORIZON: 12-24 months. The catalyst you're waiting for is either the AI liability bill passing (huge upside) or Q4 earnings (make-or-break for the multiple).

WHEN TO BAIL: Revenue growth drops below 30% year-over-year, or you see continued cluster insider selling above \$190, or a major government contract gets awarded to a competitor.

HEDGING: If you own it, buy some downside protection — cheap puts 10-15% out of the money for 3-6 months out. Think of it as insurance: you pay a small premium so you can sleep at night if Burry turns out to be right.